

China Semiconductors

Advanced Micro-Fabrication Equipment Inc China

Rating

Outperform

Price Target

688012.CH

660.00 CNY



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AMEC 2Q26: Accelerating order growth, resilient supply chain

AMEC released [2Q26 earnings](#) on Aug 19th and hosted a call on Aug 20th 2026. They already released [preliminary numbers](#) so market should have the earnings priced in. In the call the mgmt continue to deliver a very positive tone, as they see the demand is strong and growth in order is expected to further accelerate in 2H26. **Reiterate Outperform**, we updated our [model](#) to reflect the earnings but maintain PT unchanged.

Order growth accelerating. Demand from local customer is very strong, 1H26 order growth in line with rev growth, but 2H26 growth is expected to reaccelerate to be faster than 1H26. Demand from local customer is clearly strong, but the mgmt also saw that more and more oversea customers were talking to company to get AMEC's tools verified, on top of the existing leading global foundry customer who continue to purchase from them. CEO highlighted that their tool is differentiated on size, throughput and cost, which is becoming increasingly attractive. They are expanding their manufacturing capability aggressively and the current clean room capacity can support up to 70bn RMB of revenue, leaving ample room for the multi-year revenue growth.

Component supply chain is still resilient. AMEC also saw global component supply was getting tight, but they maintained a 100% on-time delivery record in 1H26, with no shipment delays so far. 2H will be more challenging as orders ramp faster, but the company is securing the supply chain with three key levers: weekly meeting with oversea vendors and increasing strategic inventory; accelerating verification of local supply chain; and accelerate equipment move in (shorten move in time from months to weeks/days). As a result, although with more foreseeable challenges in 2H, mgmt still has confidence to keep delivery on track.

On track to become a platform WFE vendor. AMEC is no longer just a vendor focused on etch equipment. The portfolio now spans across Dry Etch, Deposition, MOCVD, advanced packaging, process control, panel, CMP etc. Advanced packaging is becoming a more visible driver with strong synergy: 1H26 new AP orders already exceeded RMB 10bn, with a constructive outlook for 2H and beyond. Mgmt reiterated the 5-year ambition to cover over 60-70% of WFE and advanced packaging equipment via organic R&D and M&A.

Investment Implications

We rate AMEC Outperform.

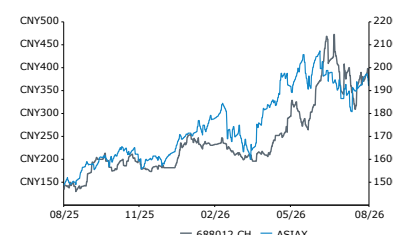
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
688012.CH (CNY)	2.28	5.30	7.26	Gross Margin (%)	39.2	40.4	40.8	--	Reported P/E (x)	160.2	69.0	50.3
OLD	--	5.44	7.65	Net Income Margin (%)	17.0	30.6	23.0	--	Adjusted P/E (x)	160.2	69.0	50.3
									PEG Adjusted (x)	5.3	0.5	1.4

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	20 Aug 2026			
688012.CH Close Price (CNY)	365.50			
Price Target (CNY)	660.00			
Upside/(Downside)	81%			
52-Week Range	500.00/126.78			
ASIAx	1,922.63			
FYE	Dec			
Div Yield	0.1%			
Market Cap (CNY) (M)	350,091			
EV (CNY) (M)	340,833			
Performance	YTD	1M	6M	12M
Absolute (%)	99.7	6.7	58.1	175.0
ASIAx (%)	17.6	3.0	7.5	29.1
Relative (%)	82.1	3.7	50.6	145.9
Source: Bloomberg, Bernstein estimates and analysis.				

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

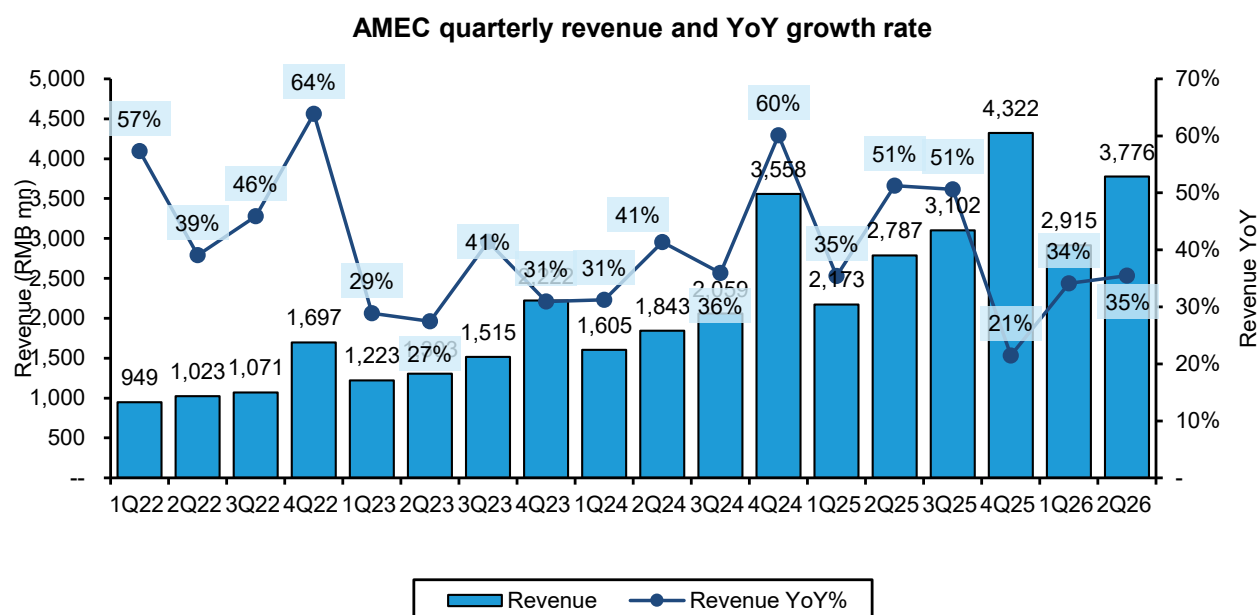
EARNINGS REVIEW

EXHIBIT 1: **AMEC 2Q26 miss on top line, net profit is a massive beat but mainly from investment income, excluding that the NPM is still lower than consensus**

(CNY M)	2Q26 Actual	1Q26 Actual	2Q25 Actual	QoQ	YoY	2Q26E Bernstein	2Q26E Consensus	Differences vs.	
								Bernstein	Consensus
Revenue	3,776	2,915	2,787	29.5%	35.5%	3,981	3,862	(5%)	(2%)
Gross Profit	1,496	1,163	1,074	28.7%	39.3%	1,585	1,552	(6%)	(4%)
Gross profit margin %	39.6%	39.9%	38.5%	(27bps)	108bps	39.8%	40.2%	(19bps)	(56bps)
Operating Profit	1,895	976	420	94.1%	351.1%	764	648	148%	192%
Operating profit margin %	50.2%	33.5%	15.1%	1670bps	3512bps	19.2%	16.8%	3099bps	3341bps
Net Profit	1,895	930	393	103.6%	382.3%	624	646	204%	193%
Net profit margin %	50.2%	31.9%	14.1%	1825bps	3608bps	15.7%	16.7%	3450bps	3344bps
Recurring Net Profit	645	478	240	35.1%	168.2%	624	718	3%	(10%)
Recurring net profit margin %	17.1%	16.4%	8.6%	70bps	845bps	15.7%	18.6%	141bps	(152bps)
Basic EPS (in CNY)	2.85	1.48	0.63	92.6%	352.4%	0.99	0.78	249%	156%

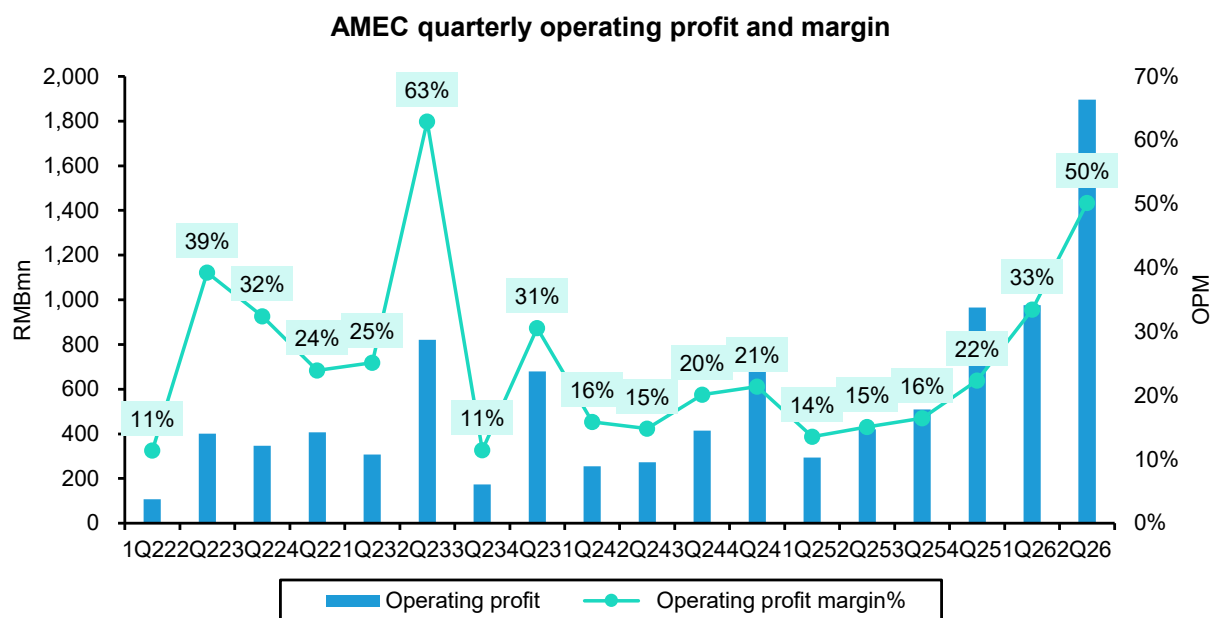
Source: Company reports, Bernstein analysis

EXHIBIT 2: **AMEC's quarterly revenue and YoY growth rate**



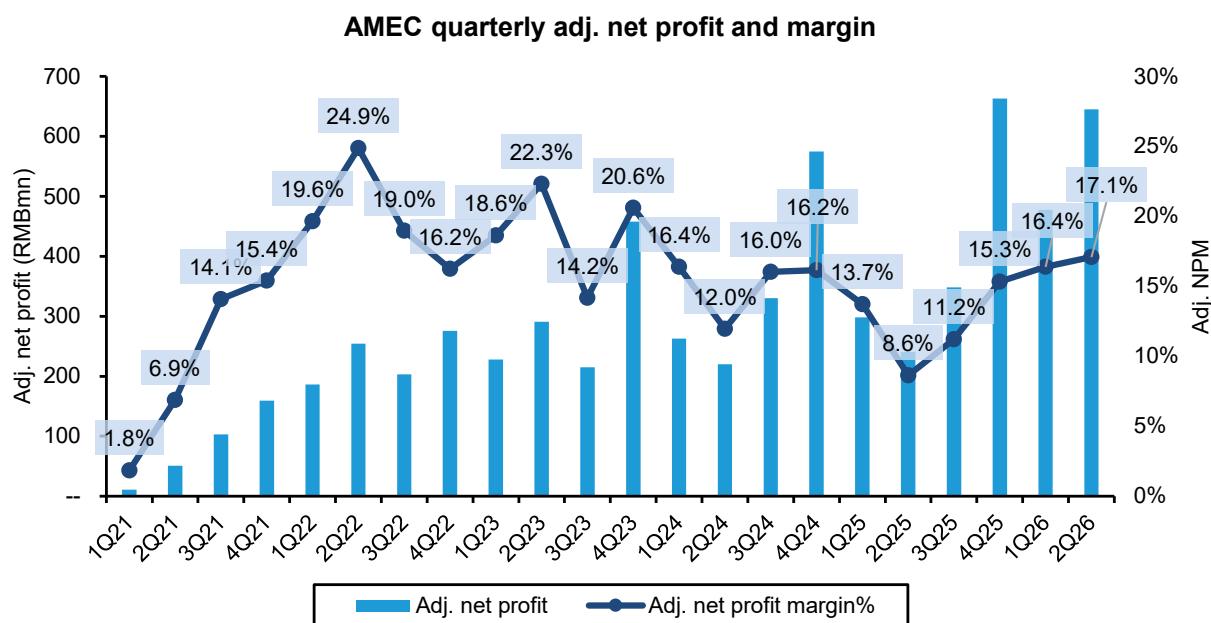
Source: Company report, Bernstein analysis

EXHIBIT 3: AMEC's quarterly operating profit and operating profit margin



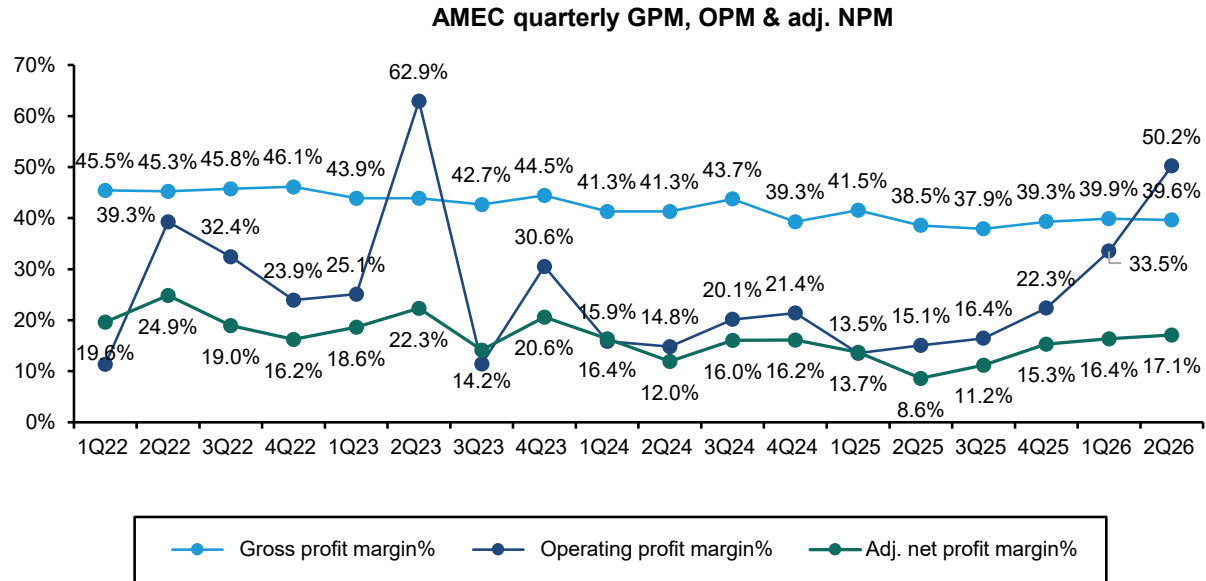
Source: Company report, Bernstein analysis

EXHIBIT 4: AMEC's quarterly adj. net profit and adj. net profit margin



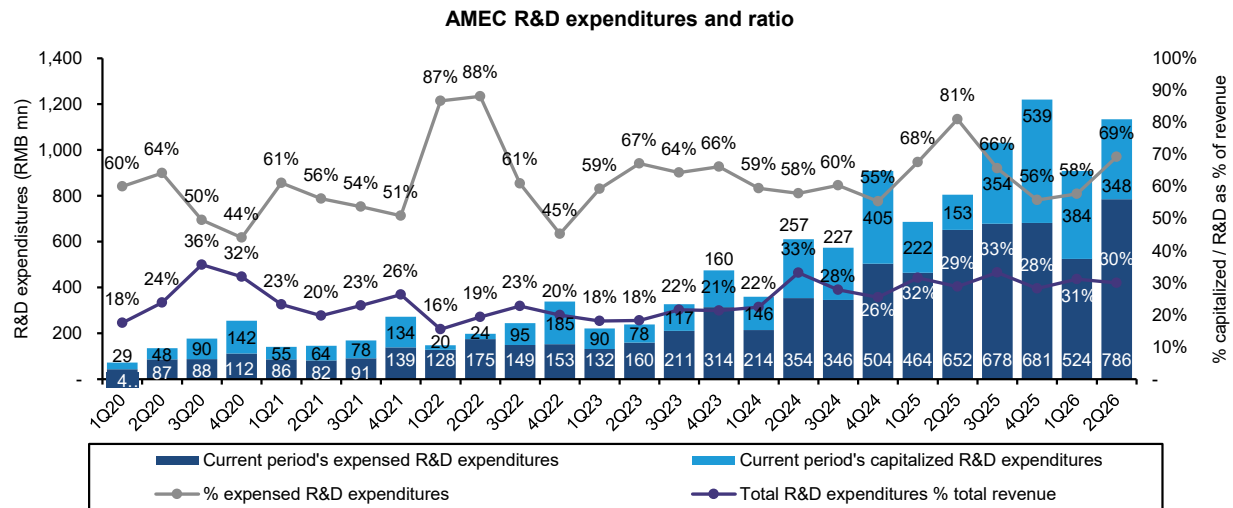
Source: Company report, Bernstein analysis

EXHIBIT 5: AMEC's quarterly GPM, OPM, and Adj. NPM



Source: Company Filings; Bernstein analysis and estimates

EXHIBIT 6: Expensed R&D in 2Q26 was 69% of total R&D, and R&D ratio remain high at 30%



Source: Company report, Bernstein analysis

MODEL UPDATES

As full earnings results have been released, we updated our model with the actual 1H26 numbers. Therefore, no changes on the assumptions we have made for the company's revenue and gross profit outlook. Both differences in operating profit and net income are caused due to aligning previous forecast of 1H26 numbers to the actual results. And difference shown in EPS is a result of changes in shares outstanding. With all these adjustments, we apply 41x PE (increased from 39x PE) based on our lowered 2028E EPS and set PT at CNY 660, unchanged from previous PT.

EXHIBIT 7: AMEC: Company model forecast vs. consensus

Revenue (CNY mn)	2023	2024	2025	2026E	2027E	2028E
Bernstein	6,264	9,065	12,385	16,818	30,707	60,755
Growth YoY	32%	45%	37%	36%	83%	98%
Consensus				16,645	22,507	29,215
Growth YoY				34%	35%	30%
Bernstein vs. consensus				1%	36%	108%
Bernstein old				16,818	30,707	60,755
New vs. Old				0%	0%	0%
Gross profit						
Bernstein	2,744	3,722	4,851	6,798	12,513	25,042
Growth YoY	26.6%	35.6%	30.3%	40.1%	84.1%	100.1%
GP Margin	43.8%	41.1%	39.2%	40.4%	40.8%	41.2%
Consensus				6,708	9,176	12,025
Growth YoY				38.3%	36.8%	31.1%
GP Margin				40.3%	40.8%	41.2%
Bernstein vs. consensus - GP				1%	36%	108%
Bernstein vs. consensus - GPM				12bps	(2bps)	6bps
Bernstein old				6,798	12,513	25,042
Growth YoY				40.1%	84.1%	100.1%
GP Margin				40.4%	40.8%	41.2%
New vs. Old - GP				0%	0%	0%
New vs. Old - GPM				0bps	0bps	0bps
Operating profit						
Bernstein	1,980	1,704	2,191	5,281	7,141	15,863
Growth YoY	56.8%	(14.0%)	28.6%	141.1%	35.2%	122.2%
OP Margin	31.6%	18.8%	17.7%	31.4%	23.3%	26.1%
Consensus				3,078	4,890	6,577
Growth YoY				40.5%	58.9%	34.5%
OP Margin				18.5%	21.7%	22.5%
Bernstein vs. consensus - OP				72%	46%	141%
Bernstein vs. consensus - OPM				1291bps	153bps	360bps
Bernstein old				3,400	7,136	15,832
Growth YoY				55.2%	109.9%	121.9%
GP Margin				20.2%	23.2%	26.1%
New vs. Old - OP				55%	0%	0%
New vs. Old - OPM				1118bps	2bps	5bps
Net income attributable to shareholders						
Bernstein	1,786	1,616	2,111	5,148	7,061	15,609
Growth YoY	53%	(10%)	31%	144%	37%	121%
NP Margin	28.5%	17.8%	17.0%	30.6%	23.0%	25.7%
Consensus				3,611	4,955	6,596
Growth YoY				71%	37%	33%
NP Margin				21.7%	22.0%	22.6%
Bernstein vs. consensus - NP				43%	43%	137%
Bernstein vs. consensus - NPM				891bps	98bps	311bps
Bernstein old				5,022	7,056	15,579
Growth YoY				138%	41%	121%
NP Margin				29.9%	23.0%	25.6%
New vs. Old - NP				3%	0%	0%
New vs. Old - NPM				75bps	1bps	5bps
EPS						
Bernstein	1.94	1.75	2.28	5.30	7.26	16.06
Growth YoY	52%	(10%)	30%	132%	37%	121%
Consensus				4.14	5.64	7.34
Growth YoY				81%	36%	30%
Bernstein vs. consensus				28%	29%	119%
Bernstein old				5.44	7.65	16.89
New vs. Old				(3%)	(5%)	(5%)

Source: Bloomberg, company reports, Bernstein analysis and estimates

AMEC'S TECHNOLOGY AND PRODUCT PROGRESS

1. Advanced Process and Overall Technology Layout

Domestic chip design and manufacturing companies have made progress on logic chips at various nodes below 7nm; multiple patterning technology has effectively compensated for lithography tool limitations. For memory devices, the industry is transitioning from 2D to 3D, including NAND Flash, progressing faster than management expected. Multiple patterning and chip 3D-ization will significantly increase demand for etching, thin-film deposition, inspection and some wet process steps.

AMEC layout directions include:

- Higher aspect ratio CCP high-energy plasma etchers;
- Next-generation high-precision, high-aspect-ratio ICP etchers;
- High-selectivity chemical etching equipment;
- Reduced-pressure epitaxy equipment already under production verification at multiple advanced process customers;
- Atmospheric-pressure large-wafer epitaxy equipment sequentially entering wafer fabs for verification.
- Technology development directions: RF innovation, square wave technology, pulse technology, atomic layer etching (ALE), atomic layer deposition (ALD), microwave plasma sources, etc.
- Goal is to meet demand of logic devices, DRAM and NAND memory devices for more advanced processes.

1. High-Aspect-Ratio Etch Equipment

Full chip production flow requires approximately 1,000 or even 1,500 steps; lithography tools are the hardest in hardware, but the hardest process step has always been high-aspect-ratio deep hole etching, especially ultra-high aspect ratio. Current global mass production mainly uses 60:1 aspect ratio, using CCP high-energy plasma etchers. AMEC already has more than 300 reactors in stable mass production etching deep holes on memory production lines; Repeatability and stability are good, and final yield has exceeded 90%.

Progress for ultra-high aspect ratio of 90:1 and above:

- In 2015, the company first proposed a low-frequency, low-temperature, small-molecule etching technology solution;
- Significant progress has been made in the past two to three years;
- Beta tool has completed a period of qualification at a customer site, proving it can meet the customer's ultra-high aspect ratio requirements;
- Management hopes to obtain volume orders in 2027.

1. ICP 140:1 and High-Selectivity Equipment

- Regarding ICP 140:1 high-aspect-ratio etching: the tool already exists and is not a new tool; only a new application was developed. The company hopes more customers will need silicon deep hole etching, and it can provide the optimal solution.
- Regarding 700:1 SiGe/Si high-selectivity etching equipment: management said the importance of this equipment is well known in the industry; it still needs about one year or so to mature and be moved to production lines.

1. Thin Film Equipment

AMEC laid out both etch and thin film when it was founded in 2004; CVD R&D was paused in 2009 for objective reasons; in 2010, due to the rise of the domestic LED lighting market, the company re - entered thin film equipment, focusing on GaN MOCVD. In the past several years, the company has repeatedly won first place as a thin film deposition equipment supplier in VSI Research evaluations.

Thin film equipment already developed:

- CVD tungsten;
- High - aspect - ratio tungsten deposition;
- ALD tungsten deposition;

- Full series of metal gate deposition equipment;
- PVD equipment;
- CVD equipment including PECVD;
- ALD equipment including PEALD;
- Epitaxy equipment, etc., totaling more than 20 core advanced process thin film equipment products.

Progress highlights:

- CVD tungsten, extremely high - aspect - ratio tungsten and ALD tungsten have already achieved volume sales at advanced memory fabs, with strong growth;
- Recently achieved a breakthrough in tungsten deposition applications at advanced logic customers;
- ALD equipment has been extended from metal films to dielectric films, developing PEALD equipment that integrates a dynamic RF control system, with high conformality, high density and good uniformity, currently under orderly verification at customers;
- 8.6 - generation PECVD large - panel equipment was successfully developed in only 18 months and is currently under customer verification.

Thin film revenue growth:

- Thin film equipment revenue grew approximately 224.23% YoY in 2025;
- In the future, thin film equipment revenue and orders will continue to maintain very high - speed growth in both advanced process and advanced packaging fields.

1. MOCVD and Wide - Bandgap Semiconductors

The company began working on MOCVD in 2010/2011 and has accumulated about 15 years of experience.

GaN LED field:

- For GaN-based LED lighting, display, Mini LED, etc., MOCVD equipment accounts for nearly 90% of the international market, a leading position.

GaN power devices:

- Already has a good product design and will soon enter production lines;
- Management is confident of strong performance in GaN power devices.

Red and yellow LEDs:

- Related equipment has already received volume orders and will soon enter production lines.

InP MOCVD:

- Has started an InP materials system MOCVD development lab with good progress;
- This field is currently almost entirely monopolized by foreign equipment;
- Management expects to enter production lines in H2 2027 and hopes for relatively fast qualification.

Wide-bandgap semiconductor MOCVD target: achieve at least 70%–80% coverage of related equipment.

1. Advanced Packaging Layout

The company previously focused mainly on front-end equipment, so advanced packaging layout started somewhat late; however, relying on its etch and thin film foundation, it is rapidly catching up. Target is to cover more than 70% of advanced packaging equipment within three to five years, possibly even more.

Specific layout:

- Through-silicon via etching: earliest developed, with deepest aspect ratio of up to 140:1;
- Thin film equipment: multiple thin film equipment products can be quickly transferred for advanced packaging;
- Copper barrier/seed protection layer: integrated system under development with smooth progress;
- CMP, copper plating, bonding, metrology/inspection: deployed through internal R&D, investment, acquisition, etc.

H1 2026 advanced packaging new orders have already exceeded RMB 1 billion.

1. Metrology and Inspection Equipment

About 10 years ago, to support the development of Raintree Scientific Instruments, AMEC entered the metrology/inspection field, but progress was relatively slow in the past few years. Now, AMEC fully deployed in optical metrology/inspection and electron beam metrology/inspection.

CD-SEM:

- Originally almost 100% monopolized by foreign equipment;
- AMEC developed CD-SEM in just over one year, with more advanced design and higher throughput;
- Laboratory test results are good, and it is expected to enter production line qualification in less than one year.
- High-voltage CD-SEM and defect review DR-SEM are also planned.
- Over the next 5 years, the company plans to develop most types of electron beam metrology/inspection equipment.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 8: AMEC Financial Summary

AMEC (688012.CH) - Income Statement (in RMB million, unless otherwise stated)									
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	2,273	3,108	4,740	6,264	9,065	12,385	16,818	30,707	60,755
Cost of sales	(1,417)	(1,761)	(2,572)	(3,519)	(5,343)	(7,534)	(10,021)	(18,194)	(35,713)
Gross profit	856	1,348	2,168	2,744	3,722	4,851	6,798	12,513	25,042
Total SG&A	(390)	(499)	(645)	(709)	(961)	(976)	(1,210)	(2,006)	(3,640)
R&D expenses	(331)	(398)	(605)	(817)	(1,418)	(2,475)	(2,876)	(3,492)	(5,689)
Financial income / (expense)	7	71	151	87	87	48	3	125	150
Net income from investment	284	437	137	583	241	674	2,581	-	-
Other gain / (loss)	87	174	56	91	32	70	(16)	-	-
Operating Profit	515	1,133	1,263	1,980	1,704	2,191	5,281	7,141	15,863
Non-operating activities	(2)	(0)	(4)	30	5	(1)	7	-	-
Profit before taxation	513	1,133	1,259	2,010	1,709	2,190	5,288	7,141	15,863
Income tax	(20)	(122)	(91)	(226)	(95)	(126)	(202)	(286)	(635)
Net Profit	492	1,011	1,168	1,784	1,614	2,064	5,086	6,855	15,229
Profit attributable to:									
Equity shareholders of the Company	492	1,011	1,170	1,786	1,616	2,111	5,148	7,061	15,609
Non-controlling interests	0	(0)	(2)	(2)	(1)	(47)	(62)	(206)	(381)
Basic EPS (RMB)	0.62	1.18	1.28	1.94	1.75	2.28	5.30	7.26	16.06
Diluted EPS (RMB)	0.62	1.18	1.28	1.93	1.74	2.26	5.30	7.26	16.06
W.A. shares outstanding (mn)	797	856	917	921	922	925	972	972	972
AMEC (688012.CH) - Balance Sheet (in RMB million, unless otherwise stated)									
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & equivalents	1,132	8,659	7,326	7,090	7,762	7,951	12,385	15,107	20,135
Financial assets held for trading	1,505	2,511	2,939	1,869	834	792	671	671	671
Accounts & other receivables, prepayments	426	643	774	1,336	1,511	2,197	2,912	5,516	11,130
Inventories	1,064	1,762	3,402	4,260	7,039	7,170	8,462	12,979	23,288
Other current assets	71	156	214	532	756	824	774	1,344	2,563
Total current assets	4,198	13,731	14,655	15,088	17,901	18,934	25,204	35,617	57,786
Total PP&E, intangible assets, ROU and investment property	765	1,473	2,275	4,061	5,331	6,528	8,475	10,732	15,766
Long-term equity investment	424	555	979	1,020	870	1,445	2,189	2,189	2,189
Other non-current assets	414	975	2,125	1,357	2,116	2,939	5,401	5,401	5,401
Total non-current assets	1,603	3,002	5,380	6,438	8,317	10,912	16,065	18,323	23,356
Total assets	5,801	16,733	20,035	21,526	26,218	29,846	41,269	53,940	81,143
Accounts payables and other payables	578	1,135	1,659	2,259	2,860	2,939	4,853	8,978	17,255
Short-term borrowings	--	--	--	--	--	--	139	139	139
Contract Liabilities	592	1,372	2,195	772	2,586	3,044	2,718	4,858	9,232
Other current liabilities	63	64	65	593	187	219	437	532	1,021
Total Current Liabilities	1,233	2,571	3,919	3,624	5,634	6,202	8,148	14,507	27,646
Long-term borrowings	--	--	500	--	722	730	482	482	482
Other non-current liabilities	199	222	133	79	126	185	215	215	215
Total Non Current Liabilities	199	222	633	79	848	915	697	697	697
Total liabilities	1,432	2,793	4,552	3,702	6,482	7,117	8,845	15,204	28,343
Capital Reserve & Additional Add-in Capital	4,354	12,904	13,263	13,937	14,725	15,669	20,189	20,189	20,189
Less: Treasury Stock	--	--	--	--	(301)	(216)	--	--	--
Retained earnings / (accumulated deficit)	37	1,048	2,218	3,880	5,311	7,235	12,008	18,525	32,970
Other comprehensive income / (loss) & Other equity tools	(22)	(12)	3	9	2	7	9	9	9
Total Shareholders Equity	4,369	13,940	15,484	17,826	19,737	22,695	32,206	38,723	53,168
Minority shareholders' interest	0	0	(1)	(3)	(1)	34	218	13	(368)
Total Equity	4,369	13,940	15,483	17,823	19,736	22,729	32,424	38,736	52,800
Total Liabilities & Equity	5,801	16,733	20,035	21,526	26,218	29,846	41,269	53,940	81,143
AMEC (688012.CH) - Cash Flow Statement (in RMB million, unless otherwise stated)									
	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net income	492	1,011	1,168	1,784	1,614	2,064	5,086	6,855	15,229
Depreciation & Amortization	84	105	142	176	260	350	613	813	1,042
Change in working capital	382	361	(569)	(2,088)	(1,119)	(259)	(120)	(1,332)	(4,002)
Other operating cashflow	(112)	(461)	(123)	(848)	703	140	(1,111)	-	-
Net cash (used in) / generated from operating activities	846	1,016	618	(977)	1,458	2,295	4,468	6,337	12,269
Net capex	(252)	(496)	(1,504)	(867)	(892)	(847)	(1,747)	(3,071)	(6,075)
Other investing cashflow	(297)	(5,648)	(1,234)	3,066	2,385	(245)	857	-	-
Net cash used in investing activities	(549)	(6,144)	(2,738)	2,199	1,493	(1,091)	(890)	(3,071)	(6,075)
Change in debt	2	-	497	-	249	(9)	(110)	-	-
Change in equity	130	8,550	359	673	788	944	4,520	-	-
Cash Paid for Distribution of Dividends, Profit and Repaymen	(0)	-	-	(138)	(200)	(205)	(154)	(544)	(1,165)
Other Cash Paid Related to Financing Activities	(132)	(264)	(374)	(313)	(838)	(548)	(2,255)	-	-
Net cash used in financing activities	1	8,286	482	223	(2)	182	2,001	(544)	(1,165)
Net change in cash during period	273	3,144	(1,569)	1,457	2,964	1,355	5,551	2,722	5,028
Cash and cash equivalents at period end	1,132	8,659	7,326	7,090	7,762	7,951	12,385	15,107	20,135

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	20 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
688012.CH (AMEC)	O	CNY	365.50	660.00	145.9%	CNY	2.28	5.30	7.26	160.2	69.0	50.3
OLD								5.44	7.65			
ASIA			1,922.63									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY**Advanced Micro-Fabrication Equipment Inc China**

We value AMEC at a PT of CNY 660 with 41x Price to EPS multiple, based on our estimate of 2028 earnings per share of RMB 16.06.

RISKS**Advanced Micro-Fabrication Equipment Inc China**

Downside risks:

- Worse-than-expected MOCVD revenue decline due to sluggish LED equipment demand.
- The capital expenditure for fabs in China did not meet the expected targets.
- Slower-than-expected domestic equipment localization progress due to unforeseen technical difficulties in specific manufacturing processes or production capacity bottlenecks of domestic equipment manufacturers.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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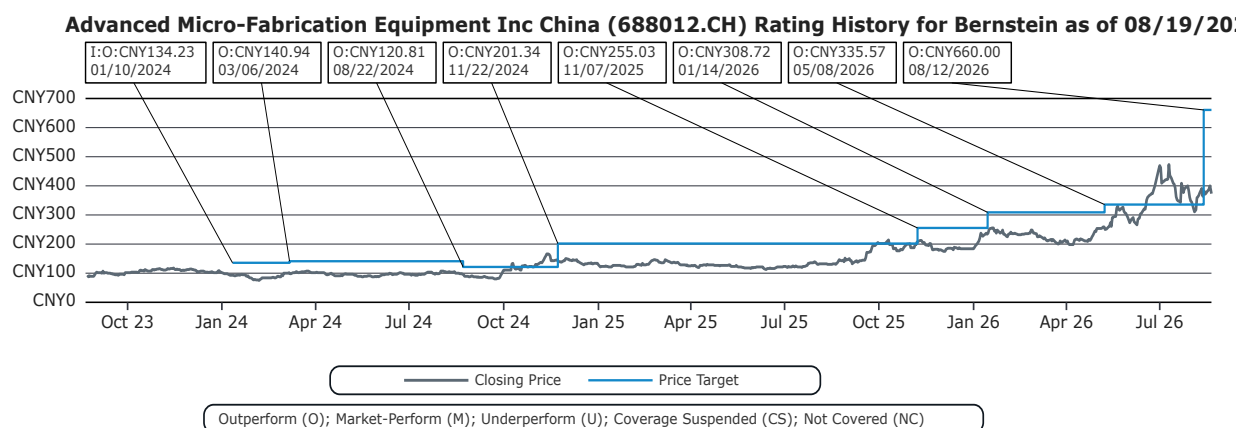
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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